

That may be so. In my opinion, though, I feel that in India it would be safer for investors to buy shares of companies that have a relatively lower P/E between 11 and 13. One should think twice before purchasing a share that has a higher P/E.

Having said that, the P/E that different investors would be prepared to accept as reasonable would depend on:

1. The company and their perception of its management, growth, prospects, and the industry it operates in;
2. The demand for the shares of the company. Certain companies such as ITC, Reliance, etc. have rewarded their investors well over the years and these shares command higher P/Es.
3. The profitability and earnings of a company.
4. The target returns of different investors.

In short, the P/E that is considered reasonable by different investors will be the one that fulfils their particular investment return requirement.

The pricing of shares as far as P/E is concerned lost all meaning in 1999 with respect to IT shares. Companies such as Amazon.com and many others that were loss making were quoting at P/E ratios that made no sense. The basis was on perceived earnings, projected earnings and potential earnings not actual earnings. In such a situation one's guess or price was good as the others.